

A different company might break their sales account down by geographic region, allowing them to decide which regions need increased sales presence.

Expenses

Expenses are generally broken down into two major categories: operating expenses and non-operating expenses. Operating expenses are the day-to-day expenses needed to keep the business running. These can be further broken down as shown below:

Cost of Goods Sold

When a company sells a product or any physical items, there are costs associated with either acquiring the item or producing it. These direct costs include material and labor costs. They are costs that are likely to vary with the quantity of goods sold.

Selling Expenses

Selling Expenses are expenses that are directly related to making the sale (e.g., salaries of salespeople, commissions, travel expenses, advertising, etc.), getting the product to the customer (e.g., freight and shipping charges, etc.) and the cost of storage and equipment. Some of these expenses will increase (e.g., commissions, rental on storage space, etc.) as sales volume increases.

General or Administrative Expenses

General or Administrative Expenses are the expenses needed to manage the business such as manager salaries, legal and professional fees, payroll expenses, utilities, insurance, office space, office supplies, etc. These expenses typically remain the same despite sales fluctuations. Often, you will see these expenses referred to as overhead and allocated to various sales or manufacturing areas.

Depreciation Expense

Depreciation Expense is a gradual deduction of a large purchase over multiple periods. The cash has already been spent to acquire the asset, but with each period, a portion of that expenditure is deducted from income. Since no actual cash was paid out during the period, depreciation expense is generally kept separate to make reporting easier and to see actual cash expenditures needed.

Research and Development

Many companies have ongoing research or development to plan for future products or services. Although such expenses are necessary for long-term growth of the business, they are generally kept in a separate category since they are, typically, not expenses directly needed to produce revenue in the current period.